

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO**

State of Ohio, ex rel. Dave Yost,
Attorney General,

Plaintiff,

Case No. 20IN006-149

v.

JUDGE WETZEL

The Landings Property Association, Inc., *et al.*,

Defendants.

Mullins Bros., Ltd.,

Defendant-Third-Party
Plaintiff,

v.

Carol A. Didinger, Trustee, *et al.*,

Third-Party Defendants.

**THE LONG DEFENDANTS' MEMORANDUM CONTRA MOTION OF RECEIVER
FOR APPROVAL OF DAM REPAIR PLAN AND CROSS-MOTION FOR APPROVAL
OF DAM REPAIR PLAN**

The Long Defendants Angela J. Arumpanayil, Trustee; Al A. Balaa; Cary S. Beck; Erika D. Beck; Andrea Belcher; Kenneth Belcher; Eric Lee Brown; Revecca M. Buckwalter; Aaron Burak; Allison Burak; Cheryl K. Christopher; Joseph R. Christopher; Christopher A. Clark; Kelly L. Clark; Charles and Dorothy Cochran Keystone Trust, Mark Cochran, Trustee; Marcell Codispoti; Peggy Codispoti; Paula C. Compton-Solie; Edward L. Cosby; Janice Cosby, Trustees; Derk D. Demaree; Anita M. Demaree; Mark Driftmyer, Trustee; Marilou M. Fritz; Donald L. Garvic; Andreas Giakoumas; Ypatia Giakoumas; James Goodrich; Diane Goodrich; Deborah Hamilton; Adrienne D. Harris; Jeffry D. Harris; Kyle L. Henthorn; Natosha E. Henthorn; Bharon

Hoag; Heather Hoag; Shane Alan Kinton, Trustee; Laurie Ann Kirkpatrick, Trustee; Cynthia Kosmos; James Kosmos; Robert S. Lebold; Jennifer Lebold; Richard Littleton; Vicki Littleton; Mark A. Long; Denise A. Long; Jesse L. Marlow; Jane C. Marlow; Hewlet McFarlane; Angela N. Merryman; Mount Vernon Nazarene University; Jeanne C. Mullendore; Chetan I. Patel; Chetna C. Patel; Diana L. Peterson; Randolph B. Plasse; Tina M. Plasse; Brian Przeracki; Kenneth Rhoades; Mary Rhoades; Mary Margaret Snow; Matthew Snow; Megan Snow; Phil Stopher; Ellen Stopher; Jeffrey Strickland; Rachel Strickland; Mark Tuel; Michael Ulrey; Rosemary Ulrey; Lawrence Vail; Nancy Vail; Alexander Varughese; Marcia J. Varughese; Andrea White; Dianne L. Williams; and Timothy J. Williams (collectively, the “Long Defendants”) oppose the Motion of Receiver for Approval of Dam Repair Plan, specifically, the third option which is the Two-Pond Plan, for the reasons set forth below.

Further, the Long Defendants move for approval of a dam repair plan, specifically, the second option which is the Single-Pond Plan, for the reasons set forth below.

I. PROBLEMS WITH THE TWO-POND PLAN

The Receiver acknowledges that the available ARPA funds are inadequate to pay the cost of the Two-Pond Plan. The Receiver notes, on page 5 of his Motion, that there is a shortfall for construction costs based on funds awarded and encumbered, and:

This does not include any potential over-runs. Any cost overruns would be financed by loan and ultimately repaid by the responsible parties.

The Receiver’s statement raises multiple questions, many of which have previously been asked of the Receiver, but have yet to be answered. Why would there be cost overruns if the contractor, Haynes Construction, is under contract? What are the anticipated cost overruns? Is there even a range? What would the loan arrangements be? On September 26, 2025, in the most recent court status conference, the court directed the Receiver to speak with potential lenders and

secure information about loan interest rates, collateral requirements, and an amortization schedule—why has the Receiver not obtained this information? Who are the “responsible parties”? Is it every property shown on the last page of the exhibit to the Receiver’s Motion?

Further, the possibility of there not being adequate funds for construction does not make sense. In the Receiver’s Sixth Interim Report, page 2, he stated that the estimated cost of the Two-Pond Plan was “\$701,525.00 which is less than the ARPA funds available.” In the Receiver’s Seventh Interim Report, page 2, he stated:

The Receiver also indicated [to the homeowners present at the public meeting at the Opera House on August 20, 2025] that he is confident that the project can be completed [with the Two-Pond Plan] for not more than the amount of the encumbered ARPA funds which have been set aside for construction of the dam.

In the August 20, 2025 meeting at the Opera House, the Receiver told the homeowners present that the cost of the Two-Pond Plan was \$701,525.00, and that this was less than the ARPA funds available. No one from the State of Ohio, AK Hydro, or the City of Mount Vernon contradicted this statement. Now, in the Motion, the Receiver says that the cost of the Two-Pond Plan is \$635,200.00, which is \$66,325 lower than the amount the Receiver had said was within the ARPA funds available—but that now there is a “shortfall”, and will be overruns.

The Long Defendants object to the Two-Pond Plan because the Receiver expects that the work cannot be completed within the ARPA funds available, and has recommended that the Long Defendants (among others) be responsible for paying unknown and unknowable excess costs through an unknown loan arrangement.

II. ADVANTAGES OF THE SINGLE-POND PLAN

There are many advantages to the Single-Pond Plan. First and foremost, this work can, without question, be completed within the ARPA funds available, and therefore at no expense to the Long Defendants or any other potentially responsible parties. The Receiver acknowledges that

the estimated cost for this plan is approximately \$350,000, far less than the \$634,500 encumbered to Haynes Construction.

The second principal advantage of the Single-Pond Plan is that it is favored by the affected property owners.

Other advantages are noted in the Receiver's Motion, and the exhibit thereto:

The Single-Pond Plan would reduce peak discharges, pool depth and surface area.

The Dam would be exempt from ODNR jurisdiction.

The plan meets stormwater management requirements.

A causeway (if desired) could be constructed during a future phase.

III. REBUTTAL TO THE RECEIVER'S OBJECTION TO THE SINGLE-POND PLAN

The sole objection noted by the Receiver to the Single-Pond Plan is that he claims that there would be higher maintenance costs with this approach. He claims that there would be higher mowing costs, and higher vegetation control costs. There are several responses to this.

A. What are the Anticipated Annual Expenses for Mowing and Vegetation Control?

The Long Defendants have asked repeatedly for the Receiver to state the basis for unsupported claims made in his Interim Reports that maintenance costs for the Single-Pond Plan are higher than for the Two-Pond Plan. This includes requests made on August 22, October 9, and October 14, 2025. But he has refused to provide that information, not even offering an excuse for his refusal. Obviously, the Receiver either knows what the anticipated costs for mowing and vegetation control are for each plan, or he doesn't. If he doesn't, then he has no basis for his repeated statements that the maintenance costs are "significantly higher" for the Single-Pond Plan than for the Two-Pond Plan, and therefore he has no legitimate objection to the Single-Pond Plan. If he does, then he should immediately disclose what the anticipated annual maintenance costs would be for each plan. Then, the court and the parties can evaluate whether the costs are

“significantly higher”, and what the alleged magnitude of the difference is, and can make an informed decision about the two options.

B. There are ARPA funds Available for Mowing and Vegetation Control

With encumbered funds for construction of \$634,500, and an estimated construction cost of \$350,000, this would leave a balance of encumbered ARPA funds of \$284,500. These funds could be used for mowing and vegetation control at the lake.

In his Motion, the Receiver says that these monies “almost certainly” could not be used for maintenance costs. But he offers no legal support for this assertion. He also says that “it is doubtful” that the City of Mount Vernon would be able to release the funds for that purpose. Again, the Receiver has made an unsupported conclusion with no support. The court will recall that when challenged about other unsupported legal conclusions, the Receiver has had to ultimately concede that he was wrong.

The Long Defendants have sought several times to have the Receiver provide support for his claims. For example, on October 14, 2025, before the Receiver filed his Motion, the Long Defendants wrote to the Receiver’s counsel asking for whatever documents might show that the ARPA funds were encumbered for the express purpose of the construction project, and not for maintenance. The Receiver ignored this request.

As the Long Defendants have pointed out to the Receiver, ARPA funds can be used for maintenance projects in Ohio, particularly when tied to infrastructure or maintaining government services related to the pandemic’s impact. Ohio has allocated a significant portion of its ARPA funds towards infrastructure, notably water and sewer projects. These projects often include maintenance and upgrades to existing systems.

The Receiver has now admitted that he was wrong in previously asserting that encumbered ARPA funds cannot legally be expended in 2026. At a minimum, some of the \$284,500 balance

of ARPA funds available if the Single-Pond Plan is adopted could be used for mowing and vegetation control in 2026.

Moreover, even if the encumbered ARPA funds cannot be used for mowing and vegetation control, the Long Defendants are no worse off, and \$284,500 of federal taxpayer money can be returned to the federal government, which is in the public interest.

C. The Decision on Mowing and Vegetation Control Should be Made by the Homeowners

Assuming that the Long Defendants, among others, will be paying for mowing and vegetation control at the lake going forward, under either of the two plans under consideration, their wishes should be paramount.

Unfortunately, they have been kept in the dark for many months, despite frequent questions. All that they know today is that the Receiver has moved the court to adopt a plan that could lead them to personal exposure for “cost overruns” in a completely unknown amount. And that they should go along with this because the expenses for annual mowing and vegetation control that they will have to pay will be lower (in an unknown amount) than under another plan.

The Long Defendants request the court to order the Receiver to immediately disclose the estimated annual expenses for mowing and vegetation control under both plans, so that the Long Defendants can evaluate whether they would prefer to take on the higher expenses with the Single-Pond Plan (if they are higher), as opposed to the personal exposure for “cost overruns” in a completely unknown amount.

IV. CONCLUSION

The Long Defendants respectfully ask this court to deny the Receiver’s motion for approval of the Two-Pond Plan, and to grant their motion for approval of the Single-Pond Plan.

Respectfully submitted,

/s/ Stephen E. Chappellear

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CERTIFICATE OF SERVICE

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